

Simple Nevada Dealership Insurance Guide

Starting a car lot can feel like a mountain of paperwork, but here is what you actually need to know in plain English.



The "Must-Have" Insurance

Think of this as your "**license to operate.**" Without these, the DMV will not let you open.

Liability Insurance

This is like regular car insurance but for your whole business. It pays for medical bills or property damage if you or an employee causes an accident. In Nevada, your policy must cover at least **\$95,000 for any one accident.**

The Surety Bond (\$100,000)

This is **NOT** insurance for you — it is a "**good behavior**" **guarantee** for your customers. If you cheat a customer or break a sales contract, the bond company pays the customer, and then they come after you for the money.

No Lapses Allowed

Nevada is very strict — if your insurance expires for **even one day**, the DMV can suspend your business and fine you **at least \$250.**



Nevada requires continuous, uninterrupted coverage. A single missed day can cost you your license and a minimum \$250 fine.

Insurance Types Explained

You will hear several technical names. Here is what they actually do — in plain English.



Garage Liability

Covers "**people and property.**" It's for when a customer slips on your floor or you hit someone during a test drive.



Dealer's Open Lot

Covers "**your cars.**" If a fire, hail storm, or thief damages the cars you are trying to sell, this policy pays to fix or replace them.



Garagekeepers

Covers "**other people's cars.**" If you have a service bay and are fixing a customer's car, this protects that car while it is in your care.



Workers' Compensation

If you hire **even one person**, you must have this. It pays for their doctor visits and lost pay if they get hurt while working.



Umbrella Policy

"Extra" backup. If you are sued for \$1.5M but your main insurance only covers \$1M, the Umbrella pays the leftover \$500,000 so you don't lose your business.